KBA vs. KWEB: Relative Value in Two China ETFs

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Summary

KBA and KWEB trade at nearly the same forward P/E (13.8x vs. 13.5x), but they own very different businesses. KBA holds onshore industrial and financial companies. KWEB holds offshore internet platforms. For a US investor who already owns the S&P 500, KBA offers higher capital efficiency, upward earnings momentum and less market risk at the same price.

Recommendation: overweight KBA relative to KWEB. Start at a 3 to 5% position and scale to 7 to 10% as oil supply risk from the Strait of Hormuz closure clears.

Snapshot

Metric	KBA	KWEB
Holdings	50 onshore A-shares	31 offshore internet names
AUM	$172M	$6.2B
Net expense ratio	0.56%	0.70%
Forward P/E	13.8x	13.5x
Implied EPS growth	20.6%	5.3%
PEG ratio	0.67	2.57
Dividend yield	2.09%	0.96%
3Y annualized return	6.95%	1.65%
Annualized volatility	18.5%	35.3%
Beta to SPY (3Y)	0.43	0.94

Sources: FactSet, KraneShares fund disclosures. Holdings as of February 27, 2026. Beta is 3-year weekly vs. SPY, pre-February 28.

Two Different Exposures

China's growth is uneven. Industrial and high-tech output is accelerating, while household consumption has stayed weak. The 15th Five-Year Plan (2026 to 2030) directs capital toward manufacturing, clean energy and AI hardware, which favors KBA's largest holdings: CATL, Zijin Mining, BYD, Eoptolink and Innolight.

KWEB depends on consumer spending through Tencent, Alibaba, Meituan, JD and PDD. These are strong businesses, but their growth now comes mainly from monetizing a mature user base. Policy support does not guarantee shareholder returns, so the case for KBA rests on measured business quality below rather than on policy alone.

Capital Efficiency

KBA's holdings earn well above their cost of capital. KWEB's holdings roughly cover it. Operating companies are measured on ROIC vs. WACC. Banks, insurers and construction SOEs are measured on ROE vs. cost of equity. Results are weighted by fund weight.

FY2025	KBA	KWEB
Holdings with usable data	47 (72.2% of fund)	23 (70.3% of fund)
Capital return (ROIC / ROE)	19.6%	12.2%
Hurdle (WACC / Ke), local view	8.3%	11.7%
Spread, local view	+11.2 pp	+0.6 pp
Spread, US investor view	+13.3 pp	+3.2 pp
Holdings above hurdle	42 of 47	7 of 23

KBA's industrial and consumer holdings (30.5% of weight) return 26.4%, an 18.1 pp spread, led by Kweichow Moutai, BYD and CMOC. Only a few small names miss, including Poly Developments, East Money and CITIC Securities.

KWEB's result is concentrated. PDD (+23 pp) and NetEase (+16 pp) carry the fund, Tencent is modestly positive (+4.6 pp), and 16 of 23 names fall short, including Alibaba (-3.7 pp). The US investor view uses one 4.25% risk-free rate for both funds, so the gap does not come from different rate assumptions.

Earnings Direction

The funds trade at the same multiple, but their earnings are moving in opposite directions. KWEB's consensus EPS fell 26% over the past year, from $2.89 to $2.13 per share, and 19 of 31 holdings were cut in March 2026 alone. A 13.5x multiple on

falling estimates may not be cheap.

KBA's largest holding, CATL (8.4%), reported FY2025 EPS of 16.14 RMB, up about 40% and ahead of consensus. My bottom-up FY2026 model projects 19.1 RMB, 5.7% below FactSet consensus of 20.25 RMB. The model assumes 700 GWh of EV battery volume, faster price declines than consensus, and excludes about 1.5B RMB of one-time investment income. Drivers include energy storage margins rising from 10.5% to 27.3% and the Hungary plant starting production.

Risk-Adjusted Return

For an investor who already owns SPY, the relevant measure is excess return per unit of beta added (the Treynor ratio). In the base case, KBA delivers about 2.8x the Treynor ratio of KWEB. Expected returns are 12-month price targets from consensus FY1 to FY2 EPS growth at a constant multiple, less a 4.25% US 10-year rate.

Scenario	KBA return	KWEB return	KBA Treynor	KWEB Treynor	KBA advantage
Bear	+11.7%	+8.0%	17.3	4.0	4.3x
Base	+25.3%	+20.7%	49.0	17.5	2.8x
Bull	+38.9%	+33.5%	80.6	31.1	2.6x
Base, March crisis betas (0.61 / 1.08)	+25.3%	+20.7%	34.5	15.2	2.3x

Beta to SPY explains little of either fund's movement (R-squared of 0.10 and 0.16), so total volatility matters too. On realized 3-year returns, KBA's Sharpe ratio is about 0.15, while KWEB's is negative: it returned less than Treasuries with nearly twice the volatility.

Risks

- **Strait of Hormuz.** Closed since February 28, with Brent peaking at $126. China holds about four months of strategic reserves. A 3 to 6 month closure would cut KBA consensus EPS by an estimated 2 to 4 pp. A longer regional war would hurt both funds.
- **US tariffs.** US tariffs on Chinese EVs are 100%, and about 31% of KBA sits in EVs, batteries and AI hardware. The EU's shift to a minimum price framework in January 2026 partly offsets this.
- **Low-quality ballast.** About 15 to 20% of KBA is in state-owned banks and property developers that earn little above their cost of capital.
- **Fiscal limits.** Hygon and Cambricon (under 5% of KBA) depend on government procurement and would suffer if stimulus disappoints.
- **KWEB upside.** The main risk to the relative call is faster AI monetization at Alibaba Cloud and Tencent, which would lift KWEB's earnings and narrow the gap.

Positioning

- **Rotation:** move KWEB exposure into KBA. Best for investors with high conviction in the industrial vs. consumer divergence.
- **60/40 blend:** 60% KBA, 40% KWEB. Keeps some exposure to the AI application layer while capturing most of the beta advantage.
- **Pair trade:** long KBA, short KWEB, sized to be beta-neutral. At March crisis betas, that means shorting about $0.56 of KWEB for every $1 of KBA (0.61 / 1.08). This isolates the relative call from the direction of China as a whole.

KBA's AUM is $172M with about $3 to 4.5M of daily volume, so positions above roughly $10M should be supplemented with direct Stock Connect purchases of the top holdings. KBA's distributions are steady dividend income ($0.48 to $0.51 per year), while KWEB's are irregular, including a $2.10 special distribution in 2025 that created a taxable event.

Inesh Pulugurtha. Not investment advice.